

***UNAUDITED INTERIM CONDENSED FINANCIAL
STATEMENTS
JUNE 2016***

I&M HOLDINGS LIMITED						
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME						
FOR THE PERIOD ENDED 30 JUNE 2016	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Jun 2016 KShs '000'	31-Dec 2015 KShs '000'	30-Jun 2015 KShs '000'	30-Jun 2016 KShs '000'	31-Dec 2015 KShs '000'	30-Jun 2015 KShs '000'
Interest income	14,357	26,280	16,738	11,826,385	21,869,337	10,107,376
Interest expense	-	-	-	(4,647,603)	(9,222,172)	(4,216,389)
Net interest income	14,357	26,280	16,738	7,178,782	12,647,165	5,890,987
Fee and commission income	-	-	-	1,265,353	2,499,460	1,207,836
Fee and commission expense	-	-	-	(90,935)	(134,529)	(64,048)
Net fee and commission income	-	-	-	1,174,418	2,364,931	1,143,788
Revenue	14,357	26,280	16,738	8,353,200	15,012,096	7,034,775
Other operating income	1,495,739	1,418,358	1,418,358	1,233,454	2,226,845	1,170,264
Operating income	1,510,096	1,444,638	1,435,096	9,586,654	17,238,941	8,205,039
Staff costs	-	-	-	(1,714,748)	(3,266,810)	(1,651,929)
Premises and equipment costs	-	-	-	(300,234)	(522,590)	(200,462)
General administrative expenses	(11,958)	(18,347)	(8,509)	(1,029,245)	(2,121,829)	(983,254)
Depreciation and amortisation	(43)	(86)	(43)	(237,451)	(501,019)	(201,822)
Operating expenses	(12,001)	(18,433)	(8,552)	(3,281,678)	(6,412,248)	(3,037,467)
Operating profit before impairment	1,498,095	1,426,205	1,426,544	6,304,976	10,826,693	5,167,572
Losses and taxation	1,498,095	1,426,205	1,426,544	6,304,976	10,826,693	5,167,572
Net impairment losses on loans and advances	-	-	-	(719,743)	(982,495)	(467,278)
	1,498,095	1,426,205	1,426,544	5,585,233	9,844,198	4,700,294
Share of profit of Joint Venture	-	-	-	240,061	323,463	137,110
Profit before income tax	1,498,095	1,426,205	1,426,544	5,825,294	10,167,661	4,837,404
Income tax expense	(4,307)	(7,831)	(5,021)	(1,648,487)	(3,023,250)	(1,441,097)
Profit for the period	1,493,788	1,418,374	1,421,523	4,176,807	7,144,411	3,396,307

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME						
FOR THE PERIOD ENDED 30 JUNE 2016	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Jun 2016 KShs '000'	31-Dec 2015 KShs '000'	30-Jun 2015 KShs '000'	30-Jun 2016 KShs '000'	31-Dec 2015 KShs '000'	30-Jun 2015 KShs '000'
Other comprehensive income						
<i>Items that will never be reclassified to Profit or loss</i>						
Actuarial (losses)/gains on re-measurement of employees benefit scheme	-	-	-	-	3,156	-
Cancellation of shares - Rwanda	-	-	-	-	(815)	(815)
<i>Items that may be classified to Profit or loss:</i>						
Net change in fair value of available for sale financial assets	-	-	-	380,904	(173,028)	(17,574)
Foreign currency translation differences	-	-	-	(270,641)	(102,826)	(43,723)
Related tax	-	-	-	-	-	-
Related tax – prior period under provision	-	-	-	-	-	-
Revaluation surplus	-	-	-	-	-	-
Deferred Tax on revaluation surplus	-	-	-	-	-	-
Total other comprehensive income for the period	-	-	-	110,263	(273,513)	(62,112)
Total comprehensive income for the period	1,493,788	1,418,374	1,421,523	4,287,070	6,870,898	3,334,195
Profit attributable to:						
Equity holders of the company	1,493,788	1,418,374	1,421,523	3,905,429	6,717,452	3,184,870
Non controlling interest	-	-	-	271,378	426,959	211,437
	1,493,788	1,418,374	1,421,523	4,176,807	7,144,411	3,396,307
Total comprehensive income attributable to:						
Equity holders of the company	1,493,788	1,418,374	1,421,523	4,134,696	6,526,739	3,161,960
Non controlling interest	-	-	-	152,374	344,159	172,235
	1,493,788	1,418,374	1,421,523	4,287,070	6,870,898	3,334,195
Basic and diluted earnings Per share - (KShs)	3.81	3.61	3.62	9.95	17.12	8.12
Dividends Per share - (KShs) - Final	-	3.50	-	-	3.50	-

I&M HOLDINGS LIMITED**STATEMENT OF FINANCIAL POSITION**

AS AT 30 JUNE 2016	COMPANY			GROUP		
	UNAUDITED 30-Jun 2016 KShs '000'	AUDITED 31-Dec 2015 KShs '000'	UNAUDITED 30-Jun 2015 KShs '000'	UNAUDITED 30-Jun 2016 KShs '000'	AUDITED 31-Dec 2015 KShs '000'	UNAUDITED 30-Jun 2015 KShs '000'
ASSETS						
Cash and balances with central banks	-	-	-	9,839,216	9,948,128	11,788,446
Items in the course of collection	-	-	-	1,183,886	527,596	1,364,027
Placements with financial institutions	-	-	-	8,144,979	4,981,777	4,953,961
Loans and advances to customers	-	-	-	132,463,686	127,823,778	123,121,122
Investment securities	-	-	-	48,605,745	39,135,807	38,185,217
Investment in Joint Venture	1,679,971	1,679,971	1,498,814	3,309,148	3,062,350	2,676,820
Investment in subsidiaries	19,609,785	19,604,666	19,604,666	-	-	-
Property and equipment	199	199	-	2,915,365	2,935,233	2,865,779
Intangible assets - Goodwill	-	-	-	1,174,601	1,174,601	1,174,601
Intangible assets - Software	-	-	-	260,560	245,434	287,466
Prepaid operating lease rentals	-	-	-	281,751	284,606	368,279
Tax recoverable	4,493	-	-	20,769	4,456	-
Deferred tax asset	-	-	-	512,325	515,997	574,499
Due from group companies	157,891	142,660	376,964	-	-	-
Other assets	151,583	23,825	1,230	1,625,873	1,083,779	1,940,722
TOTAL ASSETS	21,603,922	21,451,321	21,481,674	210,337,904	191,723,542	189,300,939
LIABILITIES AND SHAREHOLDERS' EQUITY						
Liabilities						
Deposits from banks	-	-	-	9,649,335	7,971,475	9,917,058
Deposits from customers	-	-	-	146,416,925	132,980,678	129,496,175
Deferred tax liability	-	-	-	64,042	67,744	81,839
Tax payable	-	772	942	247,737	145,434	140,759
Due to group companies	16,671	11,715	-	-	-	-
Other liabilities	75,355	47,457	86,161	3,475,307	2,766,373	4,544,484
Long term borrowings	-	-	-	9,537,646	9,575,455	10,499,064
Subordinated debt	-	-	-	4,415,620	4,495,084	4,435,054
	92,026	59,944	87,103	173,806,612	158,002,243	159,114,433
Shareholders' equity						
Share capital	392,362	392,362	392,362	392,362	392,362	392,362
Share premium	17,331,510	17,331,510	17,331,510	17,331,510	17,331,510	17,331,510
Retained earnings	3,788,024	3,667,505	3,670,699	15,448,231	12,971,933	9,426,404
Revaluation reserve	-	-	-	446,744	446,744	446,387
Available-for-sale reserve	-	-	-	(121,302)	(502,206)	(350,822)
Translation reserve	-	-	-	(216,737)	(65,102)	(51,265)
Statutory credit risk reserve	-	-	-	968,479	912,617	925,565
Defined benefit reserve	-	-	-	(39,725)	(39,725)	(36,786)
Equity attributable to owners of the company	21,511,896	21,391,377	21,394,571	34,209,562	31,448,133	28,083,355
Non-controlling interest	-	-	-	2,321,730	2,273,166	2,103,151
TOTAL SHAREHOLDERS' EQUITY	21,511,896	21,391,377	21,394,571	36,531,292	33,721,299	30,186,506
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	21,603,922	21,451,321	21,481,674	210,337,904	191,723,542	189,300,939

I&M HOLDINGS LIMITED

UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT JUNE 2016

Total Statutory Reserves

6 months period to 30 June 2016	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	General Banking reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2016	392,362	17,331,510	446,744	(502,206)	780,829	131,788	(39,725)	872,892	12,971,933	(65,102)	31,448,133	2,273,166	33,721,299
Net profit after tax	-	-	-	-	-	-	-	-	3,905,427	-	3,905,427	271,380	4,176,807
Other comprehensive income	-	-	-	380,904	-	-	-	-	-	(151,635)	229,269	(119,006)	110,263
Total comprehensive income for the period	-	-	-	380,904	-	-	-	-	3,905,427	(151,635)	4,134,696	152,374	4,287,070
Statutory loan loss reserve	-	-	-	-	19,669	36,193	-	55,862	(55,862)	-	-	-	-
Transactions with owners:	-	-	-	-	-	-	-	-	-	-	-	-	-
Dividends Paid	-	-	-	-	-	-	-	-	(1,373,267)	-	(1,373,267)	(103,810)	(1,477,077)
Total transactions with owners for the period	-	-	-	-	-	-	-	-	(1,373,267)	-	(1,373,267)	(103,810)	(1,477,077)
											-	-	-
Balance as at 30 June 2016	392,362	17,331,510	446,744	(121,302)	800,498	167,981	(39,725)	928,754	15,448,231	(216,737)	34,209,562	2,321,730	36,531,292

For the year ended 31 December 2015	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	General Banking reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2015	392,362	17,331,510	448,726	(342,834)	773,698	131,788	(42,881)	862,605	7,360,529	6,346	26,059,244	2,046,898	28,106,142
Net profit after tax	-	-	-	-	-	-	-	-	6,717,452	-	6,717,452	426,959	7,144,411
Other comprehensive income	-	-	(1,982)	(159,372)	-	-	3,156	3,156	38,933	(71,448)	(190,713)	(82,800)	(273,513)
Total comprehensive income for the period	-	-	(1,982)	(159,372)	-	-	3,156	3,156	6,756,385	(71,448)	6,526,739	344,159	6,870,898
Statutory credit risk	-	-	-	-	7,131	-	-	7,131	(7,131)	-	-	-	-
Transactions with owners:	-	-	-	-	-	-	-	-	(1,137,850)	-	(1,137,850)	(117,891)	(1,255,741)
Dividends Paid	-	-	-	-	-	-	-	-	(1,137,850)	-	(1,137,850)	(117,891)	(1,255,741)
Total transactions with owners for the year	-	-	-	-	-	-	-	-	(1,137,850)	-	(1,137,850)	(117,891)	(1,255,741)
											-	-	-
Balance as at 31 December 2015	392,362	17,331,510	446,744	(502,206)	780,829	131,788	(39,725)	872,892	12,971,933	(65,102)	31,448,133	2,273,166	33,721,299

6 months period to 30 June 2015	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	General Banking reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2015	392,362	17,331,510	448,726	(342,834)	773,699	131,788	(42,881)	862,606	7,360,529	6,346	26,059,245	2,046,898	28,106,143
Total comprehensive income for the period	-	-	-	-	-	-	-	-	3,184,870	-	3,184,870	211,437	3,396,307
Net profit after tax	-	-	-	-	-	-	-	-	38,933	(57,611)	(22,910)	(39,202)	(62,112)
Other comprehensive income	-	-	(2,339)	(7,988)	-	-	6,095	6,095	-	-	-	-	-
Total comprehensive income for the period	-	-	(2,339)	(7,988)	-	-	6,095	6,095	3,223,803	(57,611)	3,161,960	172,235	3,334,195
Statutory loan loss reserve	-	-	-	-	-	20,078	-	20,078	(20,078)	-	-	-	-
Transactions with owners:	-	-	-	-	-	-	-	-	(1,137,850)	-	(1,137,850)	(115,982)	(1,253,832)
Dividends Paid	-	-	-	-	-	-	-	-	(1,137,850)	-	(1,137,850)	(115,982)	(1,253,832)
											-	-	-
Balance as at 30 June 2015	392,362	17,331,510	446,387	(350,822)	773,699	151,866	(36,786)	888,779	9,426,404	(51,265)	28,083,355	2,103,151	30,186,506

I&M HOLDINGS LIMITED			
CONSOLIDATED STATEMENT OF CASH FLOWS			
FOR THE PERIOD ENDED 30 JUNE 2016			
	UNAUDITED	AUDITED	UNAUDITED
	30-Jun	31-Dec	30-Jun
	2016	2015	2015
	KShs '000'	KShs '000'	KShs '000'
Net cash used in operating activities	9,618,390	10,845,303	17,438,986
Cash flows from investing activities			
Purchase of property and equipment	(157,496)	(519,985)	(261,720)
Purchase of intangible assets	(66,888)	(134,538)	(118,753)
Purchase of prepaid operating lease rentals	-	-	
Proceeds from disposal of property and equipment	1,690	11,361	2,265
Additional investment in Joint Venture	-	(181,156)	-
Net cash used in investing activities	(222,694)	(824,318)	(378,208)
Cash flows from financing activities			
Net inflows/(outflows) from long term borrowings	(79,464)	519,689	247,471
Dividend paid to shareholders of the company	(1,373,267)	(1,137,850)	(1,110,112)
Dividend paid to non-controlling interests	(103,809)	(117,891)	(115,982)
Cancellation of shares	-	(815)	-
Net cash generated from financing activities	(1,556,540)	(736,867)	(978,623)
Net increase in cash and cash equivalents	7,839,156	9,284,118	16,082,155
Cash and cash equivalents at beginning of period	4,378,074	(4,906,044)	(4,906,044)
Cash and cash equivalents at end of period	12,217,230	4,378,074	11,176,111

I&M HOLDINGS LIMITED
NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Holdings Limited (the "Company"), a non-operating holding company licensed by the Central Bank of Kenya under the Kenyan Banking Act (Chapter 488) and its subsidiaries (together, the "Group") provide banking, Bancassurance and Real Estate services. I&M Holdings Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Securities Exchange (NSE). I&M Holdings Limited and its subsidiaries operate in Kenya, Tanzania, Rwanda and Mauritius. The address of its registered office is as follows:

I&M Bank House
2nd Ngong Avenue
P O Box 30238
00100 Nairobi GPO

The Company owns the following entities directly:

- (i) I&M Bank Limited – 100% shareholding;
- (ii) I&M Bank (Rwanda) Limited – effective interest of 54.99% in I&M Bank (Rwanda) Limited through a 68.742% holding in BCR Investment Company Limited (Mauritius) which owns 80% shareholding in I&M Bank (Rwanda) Limited.
- (iii) I&M Capital Limited
- (iv) Bank One Limited - 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius; and
- (v) I&M Realty Limited (incorporated on 30 October 2014) – 100% shareholding;

It also owns the following entities through I&M Bank Limited:

- (i) 55.03% (2013 - 55.03%) shareholding in I&M Bank (T) Limited; and
- (ii) 100% shareholding in I&M Insurance Agency Limited (incorporated on 23 July 2014).

2 BASIS OF PREPARATION

The principal accounting policies adopted in the preparation of these consolidated interim financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2015.

These semi annually financial statements should be read together with the 2015 Audited Annual Financial Statements.

3 DIVIDEND PER SHARE

At the Annual General Meeting held on 18 May 2016, a final dividend in respect of the year ended 31 December 2015 of Shs 3.50 per share [2014 - 2.90] amounting to a total of Shs 1,373,267,137 was approved by the shareholders and paid.

4 SEGMENT REPORTING

The group operations are within four geographical segments: Kenya, Tanzania, Rwanda and Mauritius. The table below contains segmental information provided to the Group Executive Committee.

30-June-2016	Kenya Shs `000	Tanzania Shs `000	Rwanda Shs `000	Mauritius Shs `000	Total Shs `000
Statement of Profit or Loss Disclosures					
Operating income	7,597,757	612,474	1,376,423		9,586,654
Profit before tax	4,743,664	295,629	545,940		5,585,233
Share of profit of Joint Venture				240,061	240,061
Profit after tax	3,334,084	248,755	353,907	240,061	4,176,807
Financial Position Disclosures					
Loans and advances to customers	104,475,131	13,273,430	14,715,125		132,463,686
Investment in Joint Venture				3,309,148	3,309,148
Customer deposits	114,958,342	13,978,333	17,480,250		146,416,925
Total Assets	165,677,988	18,562,391	24,468,348	1,629,177	210,337,904

30-June-2015	Kenya Shs `000	Tanzania Shs `000	Rwanda Shs `000	Mauritius Shs `000	Total Shs `000
Statement of Profit or Loss Disclosures					
Operating income	6,286,508	664,877	1,253,654		8,205,039
Profit before tax	3,982,095	198,066	520,133		4,700,294
Share of profit of Joint Venture				137,110	137,110
Profit after tax	2,776,281	152,025	330,891	137,110	3,396,307
Financial Position Disclosures					
Loans and advances to customers	98,378,031	12,407,457	12,335,634		123,121,122
Investment in Joint Venture				2,676,820	2,676,820
Customer deposits	99,720,708	12,209,920	17,565,547		129,496,175
Total Assets	147,463,062	18,144,251	22,515,621	1,178,005	189,300,939